Executive Summary // MD PASS

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MATERIAL VULNERABILITY EXPOSURE

"Asymmetric regulatory risk allocation between a 'reasonable best efforts' standard for HSR Act clearance versus a 'best efforts' standard for healthcare licensing, combined with a 48.72% ($1.40B) minority co-investment by wholesale distributor McKesson Corporation, creating vertical foreclosure scrutiny without a contractual obligation to accept burdensome divestitures."

CAPITAL AT RISK:

Target Breakup Fee: $145.96M | Parent Reverse Breakup Fee: $291.93M

Mutually exclusive bilateral termination fees (Non-Additive Scenarios)

TOP 3 THREATS RANKED

FTC/DOJ Vertical Foreclosure Deadlock Under Reasonable Best Efforts Standard

McKesson's $1.40B equity co-investment (48.72% of total equity) into Target creates vertical integration between a dominant wholesale pharmaceutical distributor and a major infusion provider (86 pharmacies, 187 ambulatory suites). Under a 'reasonable best efforts' covenant, Parent and McKesson are not contractually compelled to accept structural supply divestitures or burdensome behavioral restrictions, potentially producing an impasse before the October 5, 2027 Outside Date.

Several and Not Joint Limited Guarantee Enforceability Shortfall

The $291,927,951 Parent Termination Fee and the $7.5M aggregate expense reimbursement cap are guaranteed by CD&R Fund XII and McKesson Corporation on a strictly several and not joint basis. Public filings omit exact individual guarantee splits; if either guarantor breaches or defaults on its pro rata allocation, Delaware law does not obligate the remaining guarantor to step in or cure the shortfall.

Remedy Exclusivity Barring Cumulative Specific Performance and Damages

Under Section 9.08 of the Merger Agreement, Target holds third-party beneficiary status to compel specific performance of the equity financing, but the collection of the $291,927,951 Parent Termination Fee is contractually designated as the sole and exclusive monetary remedy upon termination, legally barring simultaneous or subsequent recovery of broader contract damages.

STRATEGIC PLAYBOOK

SEQUENCING

Phase 1: Delivery of formal information request regarding Onyx Bidco LLC equity allocation and governance.

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